BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Joshua C. Nowak –

Return on Equity Panel

Joshua C. Nowak
293 Boston Post Road West, Suite 500
Marlborough, Massachusetts 01752

Consolidated Edison Company of New York, Inc.

Rebuttal Testimony of Joshua C. Nowak

Table of Contents

I. Introduction 1

II. Purpose and Overview of Rebuttal Testimony 1

III. Economic and Capital Market Conditions 8

IV. Response to Staff Finance Panel 12

A. Proxy Group Composition 14

B. Application of the DCF Model 18

C. Application of the CAPM Approach 33

D. Weighting the Model Results 39

E. Risk Premium Model 42

F. Regulatory Framework and Business Risks 44

V. Response to PULP Witness Yates 50

VI. Response to Other Witnesses 57

VII. Conclusion and Recommendation 58

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
JOSHUA C. NOWAK/RETURN ON EQUITY
REBUTTAL TESTIMONY

I. Introduction

Q. Please state your name, affiliation, and business address.

A. My name is Joshua C. Nowak. I am employed as Vice President by Concentric Energy Advisors, Inc. ("Concentric") at 293 Boston Post Road West, Suite 500, Marlborough, Massachusetts 01752.

Q. Are you the same Joshua C. Nowak who previously submitted Direct Testimony in these proceedings?

A. Yes. The terms defined in my direct testimony have the same meanings here unless otherwise indicated.

II. Purpose and Overview of Rebuttal Testimony

Q. What is the purpose of your rebuttal testimony?

A. The purpose of my rebuttal testimony is to respond to the direct testimony of the Department of Public Service Staff Finance Panel ("Staff Finance Panel" or "Staff") consisting of Mr. David P. Warnock and Mr. Robert A. Palleschi, and the direct testimony of Public Utility Law Project of New York, Inc. ("PULP") witness Mr. William D. Yates, the direct testimony of Mr. Andy Anderson on behalf of the New York Energy Consumers Coalitions ("NYECC"), and the direct testimony of Member of the Assembly ("MOA") Burdick, MOA Levenberg, MOA Shimsky, and Dario Quinsac on behalf of State Senator Jackson regarding the appropriate ROE and capital structure for Consolidated Edison Company

of New York ("CECONY" or the "Company"). My analysis is supported by the data presented in Exhibits __ (JCN-1R) through (JCN-23R). To the extent that an issue is raised by Staff or intervenors but not addressed specifically by me in this rebuttal testimony, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. What are your key conclusions in response to the Staff Finance Panel's recommendations?

A. My key conclusions are as follows:

(1) The Staff Finance Panel places primary reliance on its two-stage Discounted Cash Flow ("DCF") analysis, which contains flaws and inconsistencies that produce a result (8.65 percent) that is below any ROE authorized for electric and natural gas utilities nationwide since at least 1980 (based on data from S&P Capital IQ, excluding any authorizations based on formulaic determinations or ROEs inclusive of penalties). By comparison, the average results of the Staff Finance Panel's Capital Asset Pricing Model ("CAPM") analyses are 10.38 percent, which is almost 175 basis points higher than those of its two-stage DCF model.

(2) Staff's analysis is overly dependent on the view of a single research firm in both its DCF and CAPM analyses. As shown in Exhibit ___ (JCN-11R), two individuals are responsible for the

estimates of approximately 68 percent of the individual proxy companies relied upon by Staff. It is not reasonable to believe that investors would rely solely on information from a single research firm (e.g., Value Line) when there are a multitude of other sources for growth rates and Beta coefficients. In particular, with regard to the DCF analysis, growth rates are available from consensus estimate providers. Such services compile the viewpoints of multiple equity analysts. Value Line does not.

(3) The Staff Finance Panel continues to assign 2/3 weight to the results of its two-stage DCF model and 1/3 weight to the CAPM results, based on the Commission's historical precedent since the Generic Finance Proceeding ("GFP"). This weighting, however, fails to take into consideration the significant divergence in Staff's DCF and CAPM results and the fact that the Commission now has over 30 years of experience with the CAPM. There is no evidence to suggest that the inputs to the CAPM cause that model to produce less reliable results than the inputs to the DCF model. As explained in my direct and rebuttal testimonies, investors use multiple methodologies to estimate the cost of equity, and Risk Premium-based models such as the CAPM are more responsive to changes in bond yields than the DCF model. As such, I continue to recommend that the Commission place equal weight on the results of the DCF and CAPM analyses.

(4) The three-month average yield on 30-year Treasury bonds was 4.73 percent as of May 30, 2025. Treasury bond yields are expected to remain at 4.40 percent over the period from 2027-2031, according to Blue Chip Financial Forecasts. As shown in my Risk Premium analysis in Exhibit __ (JCN-6), when interest rates on government bonds were last at current levels (i.e., 4.75 to 5.00 percent) in 2006 and 2007, the average authorized ROE for electric utilities ranged from 9.89 percent to 10.39 percent. Staff's recommended ROE of 9.30 percent is approximately 60-110 basis points below these levels and fails to adequately take into account the current and expected interest rate environment.

(5) Although the Staff Finance Panel contends that the regulatory environment in New York provides more protection than is afforded to utilities in other jurisdictions, they have not provided a risk assessment comparing the regulatory risk of Staff's proxy group companies to CECONY. As discussed in my direct and rebuttal testimonies, equity investors perceive the regulatory environment in New York as average to below average, and UBS places a valuation discount on New York utilities for that reason.

Q. Please summarize your response to PULP Witness Yates's testimony.

Mr. Yates compares the Company's authorized ROEs over the past decade to proposed ROEs derived from Staff's testimony in other cases

over the duration of prior rate plans. On that basis, Mr. Yates alleges on pages 51-52 of his testimony that CECONY earned above the cost of equity over the course of its respective rate plans from 2010 through 2024. Mr. Yates proposes "an annual true-up of [CECONY's] authorized ROE to the Staff ROE model for each year," on page 55 of his testimony. Mr. Yates's analysis of purported excessive revenues is flawed, however, and fails to take into account several factors that would affect the measurement of the cost of equity and the full spectrum of risk to which equity investors are exposed. First, he fails to take into account that Staff's testimony is just that, the testimony of a party and not necessarily a measure of the cost of equity. Moreover, Mr. Yates ignores the likelihood that his proposed ROE update process would both undermine any settlement process and pose incremental risks to equity investors that would cause an increase in required returns.

Q. What is your response to the other witnesses that addressed the Company's requested ROE and the Company's ability to raise capital?

A. As discussed briefly below in my rebuttal testimony, MOA Burdick, MOA Levenberg, MOA Shimsky, and State Senator Jackson each provide generic, unsupported criticisms of my ROE recommendation, all of which should be rejected by the Commission. Similarly, NYECC Witness Anderson provides anecdotal evidence of CECONY's parent

company that has little relevance to this proceeding and should be disregarded.

Q. The Staff Finance Panel references authorized ROEs in other jurisdictions. Please comment.

A. While I agree that investors consider authorized ROEs in other jurisdictions as a relevant benchmark in setting their return requirements, the data presented by Staff on pages 129-130 of its direct testimony demonstrates that the national average authorized ROEs for electric and gas utilities are well above Staff's ROE recommendation of 9.30 percent for CECONY. While Staff contends that a rational investor would not expect an authorized return of 10.0 percent, as requested by CECONY, Staff's own data shows that national average returns (i.e., 9.74 percent for electric and 9.72 percent for gas) are closer to CECONY's requested ROE than to Staff's recommendation of 9.30 percent. Further, interest rates on government and utility bonds have continued to increase in 2025, which suggests that authorized returns today would be even higher than those reported by Staff.

As illustrated in Exhibit ___ (JCN-13R), authorized returns have continued their increasing trend since 2020 both in New York and nationally. Regulatory commissions across the country, including in New York, have recognized the upward pressure in investors' required returns

as a consequence of increasing interest rates and inflationary pressures since the fall of 2022. While the gap between the Company's authorized returns and those authorized in New York and nationally has significantly diminished since the Company's rate case in 2023, Staff's recommended 9.30 percent return is significantly below the returns authorized in 2024, as shown in the referenced exhibit. As discussed further, continued economic uncertainty coupled with potential penalties in the ratemaking framework in New York increase investors' perception of risk of the Company, and should be considered in the Company's authorized returns.

Q. Have you updated your ROE analysis for more recent market data?

A. Yes. As shown in Exhibit__(JCN-1R) through Exhibit__(JCN-6R) I have updated the ROE analysis described in my direct testimony as of May 30, 2025, using the same data sources and assumptions for the multi-stage form of the DCF model and two versions of the CAPM. The results of my updated analyses are summarized in Exhibit__(JCN-1R). I have excluded TXNM Energy, Inc. from my proxy group due to recent merger and acquisition activity and Edison International due to potential material liability for the Eaton Fire in California, which occurred in January 2025. As Exhibit__(JCN-1R) demonstrates, based on this updated analysis, the Company's requested ROE of 10.00 percent remains at the lower end of the range of reasonableness and is a conservative estimate of the investor-required ROE.

In addition, in Exhibit__(JCN-7R) through Exhibit__(JCN-10R), I will show in my rebuttal testimony that reasonable modifications to the Staff Finance Panel's assumptions produce significant increases in their resulting ROE. Exhibit__(JCN-9R) summarizes the incremental effects of changes to Staff's ROE analyses.

III. Economic and Capital Market Conditions

Q. How have economic and financial market conditions changed over the period since you submitted your direct testimony?

A. As inflation gradually moderated last year, the Federal Reserve started to reduce short-term interest rates in the fall of 2024 as the inflation gradually moved toward the Federal Reserve's 2.0 percent target. However, the Federal Reserve paused those rate reductions in January 2025 as inflation remained persistently elevated. In addition, long-term interest rates remain elevated and are not expected to decline in the near-term, and U.S. trade policy has added to uncertainty around economic growth and the timing of future interest rate cuts by the Federal Reserve.

Q. Do reductions in the federal funds rate in September, November, and December 2024 indicate that capital costs for utilities are expected to decrease in the future?

A. Not necessarily. The federal funds rate is a short-term interest rate controlled by the Federal Reserve. The level of the federal funds rate,

however, does not directly determine the path of long-term interest rates, which are set in the bond market. As stated on page 18 of my direct testimony, it is clear that the era of record low interest rates and moderate inflation has ended, even though inflation has declined from the elevated levels experienced in the wake of the COVID-19 pandemic. The three-month average interest rate on 30-year Treasury bonds as of May 30, 2025, was 4.73 percent. According to Blue Chip Financial Forecasts, yields on 30-year U.S. Treasury bonds are expected to remain near current levels over the period from 2027-2031, with the average yield ranging from 4.3 percent (in 2029-2031) to 4.4 percent (in 2027 and 2028) during this time.

Q. Please explain why these interest rates are important to the ROE analysis.

A. Interest rates are a direct input to both the CAPM and the Risk Premium models. As interest rates increase, the cost of capital generally increases, and the ROE estimates from those two models also increase, although not on a one-to-one basis. Further, while interest rates are not a direct input to the DCF model, dividend yields on utility stocks must compete with yields on Treasury bonds. As interest rates on government bonds increase, utilities must offer a higher dividend yield to attract and retain investors, signaling an increase in the cost of equity for utilities. All else equal, higher dividend yields produce higher ROE estimates in the DCF model.

Q. How have recent changes in U.S. foreign trade policy affected capital markets?

A. At the start of his term, President Trump invoked several legal authorities to increase tariffs on U.S. imports. Most notably, these include tariffs on goods from Canada, Mexico and China. The magnitude of these tariffs is volatile as President Trump navigates reciprocal tariffs from key trade partners, and the courts deliberate the authority of the President to impose such tariffs. When coupled with the newly imposed tariffs on steel and aluminum there is a great deal of uncertainty in the market. Economists generally agree that higher tariffs increase inflation by increasing the cost of consumer goods. Higher inflation could complicate the Federal Reserve's unwinding of restrictive monetary policies, as well as increase long-term bond yields such as the 30-year Treasury. Longer-term bonds are more sensitive to inflation expectations because their value is eroded more by inflation; thus, as the value (price) of bonds declines due to higher inflation expectations, the yield increases. Because utilities are capital intensive enterprises, higher inflation and interest rates tend to have a negative effect on utility stocks. If realized, all these factors would suggest that the cost of capital for utilities may increase in the future.

The full impact of tariffs is uncertain, with potential volatility still to come. Depending on the scope and magnitude of tariffs, there could be meaningful supply chain disruptions, the full effect of which could lag

as the costs associated with tariffs are passed through the supply chain. Recently, investors have been reducing exposure to the U.S. dollar by selling U.S. Treasuries, due to this volatility and uncertainty.

Q. How have you factored this market data into your updated cost of equity estimates for CECONY, and what conclusions do you draw?

A. I have relied on the most recent market data and forecasts available in my updated analysis. Long-term interest rates have increased substantially since the historical lows of 2020 and are expected to remain elevated despite the anticipated further reduction in short-term interest rates by the Federal Reserve. This supports the use of both current and forecasted bond yields in the CAPM. These circumstances also reinforce the importance of considering the results of multiple models, as I have with the DCF, CAPM, and Risk Premium models. My updated results have not changed materially since I prepared my direct testimony, and do not change my original recommendation.

Q. Does the Staff Finance Panel adequately consider the effect of projected interest rates on the authorized ROE for CECONY in this proceeding?

A. No, they do not. Staff assigns 2/3 weight to the results of its two-stage DCF analysis, which does not directly consider the effect of interest rates, and Staff's CAPM analysis is based entirely on current interest rates.

Q. What is your conclusion regarding how market conditions affect the cost of equity for utilities such as CECONY?

A. Although the Federal Reserve started cutting short-term interest rates in September 2024, projected yields on long-term U.S. Treasury bonds are expected to remain near current levels, with the Blue Chip forecast yield on 30-year Treasury bonds for 2027-2031 at 4.40 percent. My conclusion is that it is reasonable to assume that investors are factoring these interest rate expectations into their purchases of both Treasury bonds and utility shares, which are incorporated in my updated results.

IV. Response to Staff Finance Panel

Q. Please summarize the Staff Finance Panel's ROE recommendation for CECONY.

A. On page 90-91 of its direct testimony, the Staff Finance Panel recommends an authorized ROE of 9.23 percent for CECONY based on two-thirds weight applied to their average DCF model result of 8.65 percent and one-third weight applied to the average of their two CAPM results of 10.38 percent. Staff then adds seven basis points for flotation costs to arrive at its ultimate ROE recommendation of 9.30 percent.

Q. What are your primary areas of disagreement with the Staff Finance Panel as they relate to the authorized ROE for the Company?

A. The primary area of disagreement between my analysis and recommendation and that of the Staff Finance Panel is that Staff mechanically develops the assumptions used in its ROE formula without

considering the effect of market conditions on the models, or the current risk profile of the Company. Staff simply runs the models and recommends the results that the models generate. Staff's model results and ultimate recommendation, however, are not consistent with current and expected Treasury bond yields and utility sector risk.

The Staff Finance Panel's criticism of my methods for estimating the cost of equity relies solely on maintaining consistency with prior Commission practice. Staff frequently cites Commission precedent as the basis for critical assumptions within its ROE estimation methodology. The basis for Staff's objections to my methodology is essentially that the Commission has not historically employed the same data and methods that I have relied upon. Staff, however, does not provide any substantiated evidence to demonstrate that my assumptions and methods are not aligned with those used by investors or that they are unreasonable. While Staff points to numerous instances where the Commission has adhered to "precedent" in determining an individual company's ROE, they fail to acknowledge that there have been several instances where the Commission has adjusted its approach in response to changing market conditions. This fundamental disagreement between my ROE estimation approach and the Staff Finance Panel's methodology arises from these differences in perspective.

Q. What are your specific areas of disagreement with the Staff Finance Panel?

A. The specific areas of disagreement related to the estimation of the ROE for CECONY are as follows: (1) the screening criteria used to develop the proxy group; (2) the application of the DCF model; (3) the application of the CAPM; (4) the relative weighting of the DCF and CAPM results; (5) the use of a Bond Yield Plus Risk Premium analysis to test the reasonableness of the DCF and CAPM results; and (6) the specific regulatory and business risks that have a direct bearing on the Company's authorized return as compared to other utilities. The following subsections address each of these areas of disagreement.

A. Proxy Group Composition

Q. Please summarize the Staff Finance Panel's proxy group selection.

A. As explained on pages 62-64 of its direct testimony, Staff began with the universe of publicly traded utility holding companies that Value Line categorizes as "Electric Utilities." Based on those 36 companies, Staff applied the following screening criteria: (1) must currently maintain an investment-grade credit rating from Moody's and S&P; (2) must have regulated utility revenues of at least 70 percent of its total revenues; (3) must currently pay dividends; and (4) must not be engaged in any major mergers, acquisitions, or other transformational activities.

Q. What concerns does the Staff Finance Panel raise with the screening criteria you applied to select your proxy group?

A. Staff raises three primary concerns with my proxy group screening criteria. First, Staff argues that I should have screened based on the percentage of revenue derived from regulated utility operations, rather than the percentage of operating income derived from regulated utility operations. Second, Staff states that I should not have limited my proxy group to transmission and distribution only utilities by excluding companies with owned generation comprising more than 60 percent of MWh sales to ultimate customers. Third, Staff contends that I should not have included gas distribution companies in my proxy group for CECONY because gas distributors have a different risk profile than the Company.

Q. Why is regulated net operating income, rather than regulated revenue, the appropriate screening criterion to utilize for selecting a proxy group for CECONY?

A. Net operating income better reflects the contribution of each business segment to a given company's earnings, which is what matters most to investors as they set stock price targets. As described by Staff on page 11 of its direct testimony, "equity investors only earn a return after the payment of all other expenses." In the case of regulated utilities that collect the cost of purchased gas, fuel, or power on a pass-through basis through rates, regulated revenue can fluctuate materially with changes in

weather, without impacting the corporation's earnings or financial position. In contrast, net operating income, which excludes pass-through commodity costs, more closely represents the effect of each business segment on the corporation's overall earnings, and therefore its risk profile.

Q. Why is it appropriate to exclude companies with substantial generation assets?

A. The risks faced by a vertically integrated electric utility are quite different from the risks faced by CECONY. Investors analyzing a vertically integrated electric utility's stock consider the risks associated with the company's fleet of electricity generating resources, the impact of weather on the company's generation, and the company's ability to add renewable generation capacity. None of those are risks faced by CECONY, which operates as a combined electric and natural gas distribution utility without significant generation assets. In fact, the Commission, itself, recognized that risks facing distribution utilities differ from those of generation utilities. (See *Proceeding on Motion of the Commn. to Establish A Long-Range Electric Resource Plan and Infrastructure Planning Process. Proceeding on Motion of the Commn. As to Policies, Practices and Procedures for Util. Commodity Supply Serv. to Residential and Small Commercial and Indus. Customers F Phase II.*, 262 PUR4th 1 (Dec. 24, 2007) which stated "While we recognize the benefit to consumers of transferring all risks to generators, if the result is a volatile market that is

limited in its ability to attract a variety of merchant investments, the public may not be well served.")

Q. Why is it reasonable and appropriate to include gas distribution companies in the proxy group for CECONY?

A. CECONY is a combination electric, gas and steam utility that derives approximately 20 percent of its revenues and 29 percent of its net operating income from gas distribution operations and dedicates approximately 26 percent of its assets to gas distribution. While the Staff Finance Panel contends that CECONY is viewed by investors as an electric utility, the Company has significant natural gas distribution operations in New York State. In fact, on page 101 of its direct testimony, Staff acknowledges that CECONY derives 20 percent of its annual revenue from its gas distribution segment. Those gas operations have a different risk profile than the electric utility business, especially in the current environment where New York is attempting to reduce carbon emissions to meet climate change goals. My proxy group includes electric utilities, gas distribution utilities, and combination electric/gas companies, all of which are relevant in determining the investor-required return for CECONY.

Q. What is your conclusion regarding the differences in proxy group composition between Staff's analysis and yours?

A. In spite of this disagreement over the screening criteria, my conclusion is that differences in our respective proxy groups are not the primary driver

for the more substantial differences in our respective analyses or ROE recommendations. As indicated previously in my rebuttal testimony, I have excluded TXNM Energy, Inc. from the proxy group in my updated analysis because that company no longer meets my screen which excludes companies that are engaged in substantial mergers and acquisitions during the study period and Edison International due to the announcement by EIX that it could face material liability for the Eaton Fire in California.

B. Application of the DCF Model

Q. Please summarize the Staff Finance Panel's application of the DCF model.

A. Staff uses a two-stage DCF model that forecasts dividends from 2025 through 2029 using Value Line's estimates of projected dividends in that period, and a "sustainable growth rate" from 2030 forward, as shown in Exhibit___(SFP-16). Staff applies two-thirds weight to its DCF model results in deriving its overall ROE recommendation. As a practical matter, Staff is placing twice the weight on a DCF model that is producing ROE estimates that are 105-110 basis points lower than ROEs approved in recently adopted Joint Proposals in New York, and 85 basis points below Joint Proposals currently before the Commission.

Q. How does the Staff Finance Panel's DCF model differ from your approach?

A. The most significant difference between my application of the DCF

model and Staff's approach is the growth rates we use in our respective analyses. I have used a consensus of analysts' earnings per share ("EPS") growth rates for the proxy group companies as the near-term growth rate, and an estimate of growth in the overall economy for the long-term growth rate. This mitigates the uncertainty associated with forecasting individual companies' growth rates over very long time horizons. By contrast, Staff uses dividend growth projections from a single source (i.e., Value Line) for its near-term growth rate, and calculates a "sustainable growth rate" for the long-term growth rate, also based on data from Value Line.

Q. Do you share Staff's concern with earnings growth rates?

A. No, I do not. Staff prefers to use dividend growth rates rather than earnings growth rates as the near-term growth rate in its DCF analysis. This ignores the fact, as discussed on page 32 of my direct testimony, that dividend growth is fundamentally driven by earnings growth. While the model is, indeed, called the "Discounted Cash Flow" model, the cash flows it refers to are those investors can expect to receive during the time they own the stock. Those cash flows include both quarterly dividend payments and any capital appreciation that occurs between when the stock is purchased and when it is sold. Dividend payments and capital appreciation are both a function of EPS, which is ultimately what determines the return to the investor. As discussed in my direct testimony on page 32, dividends are based on management decisions related to cash

management and other factors, and therefore earnings growth rates are more likely to accurately reflect investors' growth expectations than are dividend growth rates.

Q. Please explain why you have relied on EPS growth rates in the first stage of your DCF analysis.

A. I have relied on earnings growth rates because earnings are the fundamental determinant of a company's ability to pay dividends. As noted by Brigham and Houston:

> Growth in dividends occurs primarily as a result of growth in earnings per share (EPS). Earnings growth, in turn, results from a number of factors, including (1) inflation, (2) the amount of earnings the company retains and invests, and (3) the rate of return the company earns on its equity (ROE). (*See* Exhibit ___ (JCN-14R))

Investment analysts report predominant reliance on EPS growth projections. In a survey completed by 297 members of the Association for Investment Management and Research, the majority of respondents ranked earnings as the most important variable in valuing a security (more important than cash flow, dividends, or book value) (*see* Exhibit ___ (JCN-15R)). For example, in a December 2023 report on the utility sector, UBS (an investment bank) states: "North American Utilities: Our valuation methodology for the group is price to earnings based." (*see* Exhibit ___ (JCN-16R))

Academic research also supports the use of EPS growth estimates. A 2002 study in the Journal of Accounting Research, examined "the valuation performance of a comprehensive list of value drivers" and found that "forward earnings explain stock prices remarkably well" and were generally superior to other value drivers analyzed (*see* Exhibit ___ (JCN-17R)). A 2012 study from the journal Contemporary Accounting Research found that the sell-side analysts with the most accurate stock price targets were those whom the researchers found to have more accurate earnings forecasts (*see* Exhibit ___ (JCN-18R)).

Q. The Staff Finance Panel claims that Value Line growth rates are developed by a group of analysts and therefore represent a consensus view. Do you agree?

A. No, I do not. Staff provides a letter from Value Line describing the development of its growth rate projections, as Exhibit__(SFP-20). Value Line states that each company it covers is assigned to a lead analyst who is responsible for building the coverage model for that company. Specifically, the letter states, "[e]ach stock in The Value Line Investment Survey is assigned to a specific analyst." The letter goes on to report the quality control procedures applied to the analyst's report. Nowhere in the letter, titled "Quality Control Procedures," does Value Line describe a process whereby multiple independent evaluations are performed and then averaged together to form a consensus view. Each proxy company estimate from Value Line lists the individual author responsible for the

report. I note that there are only six analysts contributing to the growth rate estimates for the 28 companies in Staff's proxy group, and each company is covered by only one Value Line analyst. As shown in Exhibit ___ (JCN-11R), just two individuals are responsible for approximately 68 percent (i.e., 19 out of 28 companies) of the estimates relied on by Staff. The important element missing from Staff's DCF analysis is that Staff's source for growth rate estimates is not a consensus-based approach but reflects the opinion of a single source (i.e., Value Line) for each proxy company – and in most cases the same analyst across many companies.

Q. Do you have other concerns with the growth rates used by the Staff Finance Panel in its DCF analysis?

A. Yes, I do. While I agree that Value Line is a trusted source for investment professionals, it is merely one such source and not the only tool that investors rely on to make decisions. There are additional data sources readily available to investors that compile the consensus viewpoints of multiple equity analysts, and it is unreasonable to expect that investors rely solely on Value Line. As the Federal Energy Regulatory Commission ("FERC") stated in its Opinion No. 569, "Both IBES and Value Line growth rates are used by large numbers of investors but only IBES growth rates reflect the analysis of a diverse group of persons in the investment community." (see Exhibit ___ (JCN-19R) at paragraph 127)

In addition, the Staff Finance Panel's position on the appropriate growth rate is contradictory. On page 107 of its direct testimony, Staff criticizes the use of earnings growth rates because "rational investors will not look at forecasted earnings alone in a vacuum. Rather, they will factor in all relevant information when considering an investment." But Staff is attempting to turn logic on its head - if investors consider all relevant information, it is inconsistent with that principle to limit the DCF analysis to rely exclusively on a single source of estimated dividend growth rates, as Staff has done; ignoring all other estimates of growth rates completely.

Q. Contrary to Staff's assertion, is there additional evidence that investors give more weight to earnings growth estimates, rather than dividend growth estimates?

A. Yes, there is. Dr. Roger Morin observed in "New Regulatory Finance" that earnings growth forecasts are far more widely available than dividend growth forecasts, which indicates that the investment community places more weight on earnings growth rates than dividend growth rates. Specifically, Dr. Morin pointed to the fact that earnings forecasts predominate and only Value Line offers forecasts of dividends:

> Casual inspection of the Zacks Investment Research, First Call Thompson, and Multex Web sites reveals that earnings per share forecasts dominate the information provided. There are few, if any, dividend growth forecasts. Only Value Line provides comprehensive long-term dividend growth forecasts. The wide availability of

> earnings forecasts is not surprising. There is an abundance of evidence attesting to the importance of earnings in assessing investors' expectations. The sheer volume of earnings forecasts available from the investment community relative to the scarcity of dividend forecasts attests to their importance. The fact that these investment information providers focus on growth in earnings rather than growth in dividends indicates that the investment community regards earnings growth as a superior indicator of future long-term growth. Surveys of analytical techniques used by analysts reveal the dominance of earnings and conclude that earnings are considered far more important than dividends. Finally, Value Line's principle investment rating assigned to individual stocks, Timeliness Rank, is based primarily on earnings, accounting for 65% of the ranking. (*See* Exhibit ___ (JCN-20R)).

As Dr. Morin indicates, there is a lack of academic research analyzing dividend growth forecasts, while there is an abundance of research regarding earnings growth forecasts. This is yet another indication that earnings growth is the more meaningful measure.

Q. Do you agree with the Staff Finance Panel that reliance on Value Line growth rates lends a degree of predictability to the New York rate-setting process for the investment community?

A. Perhaps it does, but favoring predictability over accuracy is not sound regulatory policy. As a practical matter, Staff's approach diverges from how investors estimate return requirements. That is, there is no evidence that investors rely on the exact same formulation of models in all market conditions over the course of decades to estimate return requirements.

Contrary to Staff's assertion on pages 111 of its direct testimony, the investment community reviews the returns established through the New York rate-setting process based on the reasonableness and comparability of the returns to other investment alternatives. It is not reasonable to believe that investors rely solely on information from a single source (e.g., Value Line) when there are a multitude of other sources for growth rates and Beta coefficients.

In addition, there is always a risk that any source of information could be discontinued. For example, Yahoo! Finance recently stopped reporting five-year consensus EPS growth rates on its website. This demonstrates the risk in Staff's over-reliance on a single source such as Value Line. While Staff argues that its reliance on Value Line provides continuity and predictability to the rate-setting process, that continuity could be disrupted if data was no longer published by Value Line. For example, if Value Line stopped publishing forecasted dividends for the years 2025 through 2029, it is not clear how Staff would continue to update its DCF analysis because it cannot identify an alternative source. In my view, the Commission should not limit its ROE analysis in this way because that is not consistent with investor behavior, which is what we are attempting to model.

Q. Do you have any specific concerns with the dividend growth rates that the Staff Finance Panel has used in the first stage of its DCF model?

A. Yes, I do. As shown in Exhibit__(SFP-16), the dividend growth rates for five of the 28 companies in Staff's proxy group are less than 2.0 percent, which suggests negative real growth when inflation is considered. These companies are: Dominion Energy; NorthWestern Energy Group; OGE Energy Corp.; Pinnacle West Capital Corp.; and Southern Company. It is not reasonable to assume that investors would purchase or retain shares in a company that was not expected to achieve real growth in dividends and earnings. If these dividend growth rates are removed from Staff's analysis, the average dividend growth rate increases from 4.33 percent to 5.03 percent – a 70 basis point increase. In addition, the dividend growth rates calculated by Staff using Value Line data do not match the projected Dividends per share [DPS] growth rates that Value Line reports for each company for the next five years.

Q. Please summarize your concerns with the sustainable growth rate that the Staff Finance Panel has used in the second stage of its DCF analysis.

A. I have two primary concerns with Staff's sustainable growth rate of 4.90 percent, as shown in Exhibit__(SFP-16). First, while Staff asserts that its calculation of the sustainable growth rate represents a measure of long-term growth for the period 2030 and beyond, the inputs to Staff's

calculation are, for the most part, shorter-term estimates for the period 2029 and earlier. For example, the "b * r" component of Staff's sustainable growth rate is derived from Value Line forecasts that only extend through 2029. Therefore, Staff's "long-term" growth rate estimate reflects, at best, one analyst's forecast of only the very early years of the second stage of Staff's DCF model, which theoretically extends in perpetuity. In contrast, my estimate of long-term gross domestic product ("GDP") growth reflects projections over 30 years or more and considers overall measures of economic growth, as discussed on pages 37-38 of my direct testimony.

Second, Staff's sustainable growth rate relies on Value Line's estimate of each proxy company's ROE, as the "r" in the "b * r" component of Staff's growth rate in the expected ROE. This introduces an element of circularity into Staff's calculation that the Staff fails to reconcile with its results. That is, based on Exhibit__(SFP-16), the mean and median ROEs assumed in Staff's DCF calculation are 11.44 percent and 11.30 percent, respectively, yet Staff's DCF analysis suggests the proxy group average ROE is 8.65 percent. By that measure, the range of ROEs established in my updated DCF analysis for my proxy group companies (i.e., 9.68 percent to 10.03 percent) is quite conservative relative to the proxy group ROEs assumed in Staff's sustainable growth estimate.

Q. Is there academic research that recognizes the shortcomings of using sustainable growth rates in the DCF model?

A. Yes. Dr. Roger Morin noted his concern with the use of sustainable growth rates in the DCF. Specifically, Dr. Morin stated:

> In summary, there are three proxies for the expected growth component of the DCF model: historical growth rates, analysts' forecasts, and the sustainable growth method. Criteria in choosing among the three proxies should include ease of use, ease of understanding, theoretical and mathematical correctness, and empirical validation. The latter two are crucial. The method should be logically valid and consistent, and should possess an adequate track record in predicting and explaining security value. The retention growth method is the weakest of the three proxies on both conceptual and empirical grounds. The research in this area has shown that the first two growth proxies do a better job of explaining variations in market valuations (M/B and P/E ratios) and are more highly correlated to measures of value than is the retention growth proxy. *See* Exhibit ___ (JCN-20R).

In addition, the FERC moved away from the use of sustainable growth rates in the first stage of its DCF model and now relies solely on EPS growth rates from IBES. Considering the theoretical and empirical concerns noted by both regulators and academics, it is reasonable to conclude, as I have, that the sustainable growth rate should not be relied on as the estimate of long-term growth in the multi-stage DCF model.

Q. Please discuss the difference between your approach to estimating long-term GDP growth in the DCF model and the approach taken by the Staff Finance Panel.

A. As support for the reasonableness of the growth rate the Staff Finance Panel has used in the second stage of its DCF analysis, Staff compares its sustainable growth rate of 4.90 percent to the projected GDP growth rates from Blue Chip Economic Indicators and the Congressional Budget Office ("CBO"). Specifically, Staff cites a Blue Chip GDP growth rate of 4.10 percent for the period from 2032 to 2036 and a CBO growth rate of 3.80 percent for the period from 2027 to 2034. I disagree with Staff's use of projected real GDP growth rather than historical real GDP growth. Further, current real GDP growth estimates are not aligned with the time period of Staff's DCF model (i.e., they only reflect a portion of long-term economic cycles).

Q. Why is it reasonable to rely on historical averages of real GDP growth to approximate future economic activity?

A. As explained on page 38 of my direct testimony, the use of historical real GDP growth is consistent with the approach relied upon by Morningstar, a leading provider of investment information which previously published data on historical stock and bond returns from Ibbotson and Associates. I then add this historical GDP growth rate to the projected inflation rate to derive my estimate of nominal GDP growth.

Q. Has Staff relied on historical data in any of its ROE analyses?

A. Yes. In its CAPM analysis, for example, Staff relies exclusively on Value Line Beta coefficients that use a five-year historical estimate of the relative risk of proxy companies and the overall market.

Q. Do you have any additional concerns with the projected GDP growth rate cited by the Staff Finance Panel?

A. Yes. The GDP growth projections cited by Staff cover relatively short time periods. For example, on page 115-116 of its direct testimony, Staff cites the CBO's real GDP growth projection of 2.0 percent in 2024 and 2025, and 1.80 percent for the period 2029 through 2034 as evidence that the projected real GDP growth rate that I relied upon is overstated. Staff's two-stage DCF analysis, however, extends 200 years, with the second stage beginning in year 6 of the analysis. This means that Staff is attempting to assess the reasonableness of a long-term growth rate using a projection that covers approximately 5 percent of the period to which it is being applied (i.e., Staff is assessing a 195-year projection using a 10-year projection).

Q. Why have you chosen to rely on a three-stage DCF, as opposed to a two-stage DCF?

A. My reliance on a three-stage DCF model reflects my view that growth rates will not suddenly shift from the near-term growth rate to the long-term growth rate, but rather will transition gradually. While the Staff Finance Panel observes that "any issues with the growth rates calculated in the first or third stage are inherited by the second stage," Staff develops

its estimate of the market return for purposes of the CAPM analysis based on reports published by Bank of America Securities, which derives its projected market return based on a three-stage DCF model.

Q. Are there any specific issues with the calculations in Staff's DCF model that cause its results to be understated?

A. Yes. In calculating the ROE using its two-stage DCF model, the Staff Finance Panel relies on the "IRR" Microsoft Excel function in which dividends are assumed to be received at the end of the year, as shown in Exhibit__(SFP-16), DCF-Page 2, "Long-Form ROE." This ignores the fact that the proxy companies issue quarterly dividends and, consequently the "XIRR" function – and not the IRR function - would be more reflective of this reality. Although both the IRR and XIRR functions are Microsoft Excel functions that are used to calculate the internal rate of return for a series of cash flows, the IRR function makes the simplifying assumption that cash flows are available at a set time in each period. In contrast, the XIRR function allows additional inputs as to the timing of cash flows. Specifically, the XIRR function allows the analysis to reflect the assumption that dividends are paid, on average, halfway through the year (i.e., two dividends are paid in the first half of the year, and two dividends are paid in the second half of the year). Thus, the XIRR function reflects a more nuanced and accurate set of assumptions regarding the timing of cash flows.

Q. Please provide an example of why the XIRR function is appropriate, even for regular cash flows.

A. Suppose there are two dividend-paying utilities, identical in every respect but one: utility one pays a lump-sum dividend once per year; and utility two pays daily dividends that are equal, on an annualized basis, to the lump-sum dividend paid by utility one. According to Staff's analysis, the result of a DCF analysis of both utilities would be identical. To the contrary, however, it is a well-recognized financial principle that investors place value on the timing in which cash flows are received. While both utilities in this hypothetical pay "regular" dividends, the timing of when cash is received matters. The XIRR function allows the analysis to better reflect the actual timing of cash flows. In contrast, the oversimplified and imprecise IRR function assumes that all dividends are paid at the end of the year – which, in reality, they are not. In fact, every utility in my proxy group, and in Staff's proxy group, as well, pays dividends on a quarterly basis. Thus, the IRR function used by Staff, which assumes that investors have to wait longer to receive dividend payments, understates the cost of equity. As shown in Exhibit__(JCN-9R), merely applying the more precise – and more realistic - XIRR function would increase Staff's DCF result from 8.65 percent to 8.89 percent and increase Staff's overall ROE estimate from 9.23 percent (not including seven basis points for flotation costs) to 9.39 percent, or 9.46 percent including flotation costs.

C. Application of the CAPM Approach

Q. Please summarize the Staff Finance Panel's application of the CAPM.

A. Staff developed its estimate of the risk-free rate of 4.50 percent by using a recent three-month average of 10-year and 30-year Treasury bond yields. For the Beta estimate, Staff used the average Value Line Beta for its proxy group of approximately 0.89. To estimate the market risk premium ("MRP") of 6.50 percent, Staff subtracted the risk-free rate estimate from an average of the forecast returns for the S&P 500 from BOAS's February, March, and April 2025 Quantitative Profiles. Staff also developed a zero-Beta CAPM using similar inputs as its traditional CAPM analysis. Staff relied on the average of its two CAPM analyses of 10.38 percent and assigned one-third weight to that result (as compared to two-thirds weight for the DCF) in developing its overall ROE recommendation of 9.23 percent plus seven basis points for flotation costs.

Q. What are the primary differences between your application of the CAPM and that of the Staff Finance Panel?

A. Because the estimation of the ROE is a forward-looking concept, and the ROE that is authorized in these cases will be in effect for some period in the future, my analysis appropriately considers both the recent historical risk-free rate and the projected risk-free rate. Second, the analysis presented in my direct testimony (and updated in this rebuttal testimony)

relies on both Value Line and Bloomberg estimates of Beta. Finally, I estimate the forward-looking MRP in two ways: 1) based on the difference between the projected total return on large company stocks, as measured by the S&P 500, and the yield on 30-year Treasury bonds; and 2) using the same BOAS's reports that Staff has relied on for the total market return.

Q. Why is the use of 30-year Treasury bond yields more appropriate than relying on the average of 10-year and 30-year Treasury bond yields?

A. As stated on page 85-86 of its direct testimony, Staff's rationale for relying on 10-year and 30-year Treasury bond yields is that it is consistent with the approach the Commission has relied on in prior cases, that CECONY issues both 10- and 30-year bonds, and that the use of these securities reflects the expectations of utility investors who have "intermediate as well as long-term investment horizons." I disagree with Staff's rationale. As noted by Morningstar, "the horizon is a function of the investment, not the investor." The use of the 30-year Treasury bond yield as the risk-free rate is consistent with the investment horizon for electric and natural gas utility assets. Taking Staff's rationale to its logical limits, an investor who plans to hold an equity position in a utility for only six months would use a certificate of deposit rate to evaluate the potential return. That is clearly not the case for any rational investor considering return requirements.

Q. Why are projected Treasury bond yields informative in the CAPM analysis?

A. Just as investors have access to actual and projected growth rates for individual companies, they also have current and projected yields on Treasury bonds. It is reasonable to expect that investors can and do consider this information, as they do other market projections. Furthermore, the use of projected Treasury bond yields is consistent with the use of a forward-looking MRP. Therefore, it is reasonable, and consistent with Staff's position regarding the calculation of the MRP, to rely on expectations of market conditions to the extent that those expected conditions differ from recent history. From a practical perspective, the ROE that is approved by the Commission will be the return that will be reflected in the Company's rates over the rate period, until such time as another rate proceeding is filed. It is important to reflect investors' expectations of returns over that time period. Therefore, I conclude that it is appropriate to consider consensus estimates of investors' expectation of yields on 30-year Treasury bonds in the CAPM analysis, as I have done.

Q. Please summarize the Staff Finance Panel's concern with your estimation of the Market Risk Premium.

A. I developed two versions of the market risk premium: 1) by applying the Constant Growth DCF model to the companies in the S&P 500; and 2) by using the returns provided in the Bank of America Securities reports that

Staff prefers. Staff argues on pages 121 of its direct testimony that my first approach is not appropriate because many of the companies in the S&P 500 cannot sustain the projected three-to-five-year EPS growth rates in perpetuity. Staff also contends on pages 119-120 of its direct testimony that I arbitrarily increased the expected return for the S&P 500 by nine basis points without any explanation.

Q. Do you agree with Staff's first criticism?

A. No, I do not. Under this approach, my calculation of the forward-looking MRP is based on the return on the broader market, as measured by the S&P 500, less the return on a risk-free instrument. The S&P 500 Index includes the largest 500 companies by market capitalization. Over time, the specific companies that are included in the S&P 500 Index will vary, but investor expectations of growth and return overall for the index as a whole may not, based on the selection process involved in the index. Therefore, it is reasonable to assume that the average growth of the index could be sustainable in the long run.

Q. Is there additional support for the reasonableness of the market return you have used to calculate the forward-looking MRP?

A. Yes. Other alternative sources provide reputable forecasts of market returns that are significantly higher than the estimated market return relied on by Staff. For example, S&P regularly publishes earnings growth projections for the S&P 500. As of May 30, 2025, S&P projected earnings growth of 14.36 percent for the S&P 500 (*see* Exhibit ___ (JCN-

21R)). When combined with the twelve-month average dividend yield of 1.29 percent for the S&P 500 reported by S&P, that results in a projected total return on the S&P 500 of 15.84 percent. Additionally, as of March 31, 2025, State Street Global Advisors projected long-term EPS growth of 12.36 percent for an exchange-traded fund tracking the performance of the S&P 500 index. *See* Exhibit ___ (JCN-22R). When combined with the reported dividend yield of 1.38 percent, that results in a projected market return of 13.91 percent. By contrast, the market return that Staff relied on is 11.00 percent, or more than 280-basis points below the market return estimates provided by these reputable sources.

Q. Please respond to Staff's second concern with your forward-looking MRP calculation.

A. According to Staff, I have increased the market return by nine basis points without offering any explanation. The reason for this adjustment is that the dividend yield for the S&P 500 companies must be adjusted to account for increases in future dividend payments. This is accomplished by multiplying the current dividend yield by 0.5 times the expected growth rate for each company in the index. As shown in Exhibit___(JCN-5R), this adjustment results in a nine basis point increase to the estimated market return for the S&P 500 Index.

Q. What is your concern with Staff's sole reliance on Value Line Beta coefficients?

A. Staff relied solely on Value Line Beta coefficients. However, it is notable that Beta coefficients from Value Line have declined over the past three months for certain companies in Staff's proxy group. However, there is no corroborating evidence that investors meaningfully reduced their return requirements for these companies. As such, it is important to consider alternative sources of Beta estimates. In my direct testimony (and updated in this rebuttal testimony), I included Bloomberg Beta coefficients calculated based on 10 years of weekly returns. While the average Beta coefficient is lower based on the 10-year Bloomberg Beta estimates as compared the average Value Line Beta estimate in my updated analyses, the 10-year Bloomberg Beta estimates have been more consistent in recent months.

Q. What are your conclusions regarding the CAPM analysis?

A. In principle, I agree with the Staff Finance Panel that the inputs and assumptions for the CAPM analysis should be forward-looking, whenever possible, although both our CAPM analyses contain some historical data (e.g., Betas). I have developed the assumptions used in the CAPM analysis to be forward-looking to the period that the Company's rates will be in effect. In the instance of Beta, I relied on both Bloomberg and Value Line Beta coefficients to account for the effects of exogenous events on utility Beta coefficients.

D. Weighting the Model Results

Q. Where did the two-third/one-third weighting of the DCF and CAPM results originate in New York?

A. The weighting of model results originates from a recommendation in the decision by the Co-Facilitators in the GFP in 1994. (S*ee* Case 91-M-0509, Proceeding on Motion of the Commission to Consider Financial and Regulatory Policies for New York State Utilities, Recommended Decision, (issued July 19, 1994) ("Generic Finance RD"), at 2). As I pointed out earlier in my rebuttal testimony, Staff's DCF estimate is almost 175 basis points below the results of Staff's CAPM analysis and 110 basis points below the ROEs authorized by the Commission recently, including the 9.75 percent ROE recently authorized for the Company's affiliate, Orange and Rockland Utilities, Inc.

Q. Does Staff explain the Commission's rationale in its weighting of the DCF and CAPM results?

A. Yes. On pages 59 to 60 of its direct testimony, Staff cites to Commission practice since 1994. In these cases, the Commission authorized ROEs calculated by placing two-thirds weight on the DCF model and one-third weight on the CAPM.

Q. Why do current capital market conditions support reconsideration of the respective weights placed on the DCF and CAPM approaches?

A. There has been an increasing level of complexity and sophistication in investors' analytical approaches over time. Risk Premium models such

as the CAPM are more responsive to changes in interest rates than the DCF model. Given the role that the Federal Reserve has in influencing capital market conditions, and the fluctuations in long-term interest rates the market has experienced in the last five years, it is reasonable to place more weight on models that directly account for such inputs. As discussed in Section III of this rebuttal testimony, elevated interest rates and inflation above the Fed's long-term target are key factors in the current economic environment. Because interest rates are a direct input to the CAPM and Risk Premium models, those models are more adaptable than the DCF model in reflecting changes in long-term interest rates and the effect of those changes on the cost of equity.

Q. How have other regulators responded to the dynamic capital market conditions in determining the cost of equity?

A. As discussed on pages 50-51 of my direct testimony, several regulators, including the FERC, have recognized the challenges associated with relying primarily on the DCF model to establish the authorized ROE for regulated utilities. The FERC abandoned its sole reliance on the DCF model to rely on an equal weighting of multiple models, including the DCF and CAPM. Other jurisdictions, including Pennsylvania, Illinois, and Missouri have also deemphasized the DCF model in recent cases.

Q. Please summarize your conclusions on the weighting of the DCF and CAPM results.

A. Much has changed in the utility industry over the past 30 years, including

the restructuring of the electricity sector that required divesting generation assets and the ongoing energy transition that is challenging utilities to work with government to achieve policy goals related to decarbonization through increased electrification of the economy and reduced dependence on fossil fuel resources. Given the evolution of the utility industry over the three decades since the GFP, and given the Commission's experience with using both the DCF and CAPM analysis over that period, it is reasonable for the Commission to place equal weight on the DCF and CAPM results.

Investors consider the results of multiple financial models to estimate their return requirements for utilities, and each model has its own strengths and limitations depending on conditions in capital markets. For that reason, I disagree with Staff's strict adherence to Commission precedent in terms of weighting the DCF and CAPM results, and I encourage the Commission to consider an equal weighting of the two models. As shown in Exhibit__(JCN-9R), evenly weighting the DCF and CAPM results would increase the weighted average results of Staff's ROE analysis from 9.30 percent (which includes 7 basis points for flotation costs) to 9.59 percent. Further, as discussed in my direct testimony, I recommend the Commission also consider the results of the Risk Premium model, which is based on hundreds of decisions in other

jurisdictions which investors rely on as a benchmark for setting their return requirements for companies like CECONY.

E. Risk Premium Model

Q. You presented a Risk Premium analysis in your direct testimony as a way to test the reasonableness of the DCF and CAPM results. Did the Staff Finance Panel comment on your Risk Premium analysis?

A. No, they did not. However, Staff does refer to authorized returns in other jurisdictions based on data from Regulatory Research Associates, which is the same source I used in developing the regression equation in my Risk Premium analysis.

Q. Please explain why you believe the Commission should also consider the results of the Risk Premium model in setting the authorized ROE for CECONY.

A. As explained in my direct testimony on pages 46 to 48, the Risk Premium model allows for the estimation of the authorized ROE at a given level of government bond yield based on a regression analysis of the historical relationship between authorized ROEs and Treasury bond yields. Investors consider authorized ROEs as an important benchmark as they set their return expectations for CECONY. The Risk Premium model is particularly useful because it addresses the question of whether the authorized ROE meets the comparable return standard.

Q. Are you aware of other jurisdictions that consider the results of a Risk Premium analysis when establishing the authorized ROE?

A. Yes. As discussed in my direct testimony on page 49, numerous U.S. jurisdictions consider the results of the Risk Premium model including: California, Florida, Georgia, North Carolina, Virginia, West Virginia, and Wisconsin.

Q. Is there evidence that investors also consider this type of information in their analysis?

A. Yes, there is. For example, in a December 2023 report from UBS on the utility sector, the investment bank presents a regression analysis which shows that current authorized ROEs are below what would be expected given the historical level of the 10-year Treasury bond yield. Based on the UBS regression equation shown in Exhibit__(JCN-16R), and using the 90-day average yield on the 10-year Treasury bond of 4.38 percent as of May 30, 2025, the expected authorized ROE would be 10.95 percent.

Q. What is your conclusion regarding the use of a Risk Premium model?

A. While I have not placed weight on the results of the Risk Premium model in deriving my ROE recommendation for CECONY, my Risk Premium analysis shows that when interest rates were last at current levels in 2006-07, the average authorized ROE for electric utilities nationwide ranged from 9.89 percent to 10.39 percent. This supports the reasonableness of my recommended range of 10.00 to 11.00 percent and CECONY's requested ROE of 10.00 percent. Staff's recommended ROE of 9.30

percent is well below my Risk Premium results and does not provide a comparable return when 30-year Treasury bond yields are at recent levels (i.e., 4.75 to 5.00 percent).

F. Regulatory Framework and Business Risks

Q. Please summarize the Staff Finance Panel's position regarding the Company's business risks.

A. Staff has not performed any comparative analysis of CECONY to its proxy companies. Rather, on page 138-139 of its direct testimony Staff disagrees with my conclusion that CECONY has comparable regulatory protection to the proxy group companies because "[a]lthough other jurisdictions have adopted some risk-reducing policies similar to New York, few have matched the extent to which New York has adopted them." Staff's asserted "risk assessment", however, is incomplete as Staff has failed to acknowledge the incremental risks associated with the CLCPA (i.e., the incremental capital investment needed to achieve the policy goals of the energy transition) or the effect of negative revenue adjustments ("NRA") associated with customer service quality and electric reliability metrics, and more stringent gas safety targets.

Q. Do you agree with Staff's conclusion regarding the regulatory environment in New York?

A. No, I do not. Staff has not performed any comparative analysis to demonstrate how either the CLCPA or the NRA mechanisms are unique

to New York or otherwise reduce the Company's risk profile as compared to the industry or the proxy companies which do not face similar obstacles. By contrast, I have performed a risk assessment of CECONY relative to the operating utility companies held by my proxy group. As shown in Exhibit__(JCN-8) of my direct testimony, CECONY has comparable regulatory protection to the proxy group companies and those companies face neither NRAs nor the CLCPA.

Q. Does the Staff Finance Panel consider other independent sources that have evaluated the regulatory environment in New York as compared to other jurisdictions?

A. Yes. Staff cites a ranking provided by Regulatory Research Associates ("RRA"), a division of S&P Capital IQ. I have cited this same report in previous testimony before the Commission. RRA views New York's regulatory environment as "somewhat balanced" from an investor perspective, with lower than nationwide ROEs for electric and gas utilities offset by the use of forecast test years, revenue decoupling, and multi-year rate settlements that incorporate increasing rate bases and deferral accounting for increasing costs of labor and pensions.

RRA ranks New York as "Average/2", which is consistent with the majority of regulatory jurisdictions across the U.S. Average/2 is the median ranking given by RRA; there are 20 jurisdictions with a higher ranking, 18 jurisdictions with a lower ranking, and 14 jurisdictions with

the same ranking. *See* Exhibit ___ (JCN-12R). This puts New York squarely in the middle of the range, supporting the contention that, even with the risk reducing measures implemented in New York, those measures result in no significant difference in overall regulatory risk between New York and other jurisdictions. This is consistent with the findings presented in my direct testimony.

Q. Did you provide any additional evidence in your direct testimony regarding how investors view the regulatory environment in New York?

A. Yes. I also cited a report by UBS, an investment bank, which ranks regulatory jurisdictions in the U.S. and Canada for purposes of determining whether to apply valuation discounts or premiums to the utility stocks it covers. The Staff Finance Panel challenges the findings of the UBS report, and Staff provides reports from other equity analysts on the New York regulatory environment.

Q. What concerns does Staff express with the UBS report?

A. According to pages 131-132 of Staff's direct testimony, it is not reasonable to rely on the UBS report because it is based on the views of a single analyst. This criticism is ironic, considering that Staff bases the majority of its ROE analysis on data from Value Line, which as I explained earlier in my rebuttal testimony, is based on the views of a single analyst. Staff also questions the UBS ranking for New York's regulatory environment based on the five criteria that UBS uses to assess

regulation. As discussed on page 65 of my direct testimony, UBS places regulatory jurisdictions into five tiers based on the following equally weighted criteria: (1) whether commissioners are elected or appointed, (2) allowed returns relative to 10-year Treasury notes, (3) mechanisms that reduce regulatory lag, (4) rate and customer bill levels, (5) the tendency to settle or litigate rate cases, and (6) a subjective "investor friendliness" factor (*see* Exhibit ___ (JCN-23R)). Exhibit__(JCN-23R) shows that UBS ranks New York's regulatory environment in tier five out of five (with one being the best) in a July 2024 report.

The UBS ranking demonstrates that, from the perspective of equity investors, the overall regulatory environment in New York is viewed as less favorable than the majority of U.S. jurisdictions. UBS notes that regulatory jurisdictions ranked in the third and fourth quartiles receive valuation discounts of three and nine percent, respectively.

Q. Has the Staff Finance Panel provided evidence that any other of the other utilities in its proxy group are subject to the same level of penalties embedded directly into a rate plan in a way that is comparable to the Company's exposure?

A. No, they have not. CECONY's risk profile is affected by its exposure to the effect of customer service quality, electric reliability, and gas safety measures. While other utilities may be held to performance standards, Staff has provided no evidence that there is a direct, downside-only penalty in other jurisdictions comparable to the regime in New York. It

is the punitive mechanism by which the standards are enforced that poses a unique and incremental risk to CECONY and other New York utilities that is not faced elsewhere.

Q. Please explain why the risks associated with the CLCPA are relevant in assessing CECONY's risk profile.

A. The CLCPA includes aggressive targets to achieve a net zero carbon economy that will require significant action as soon as practicable in order to achieve the policy objectives. As discussed in my direct testimony on pages 52-54, the New York Climate Action Council's Final Scoping Plan indicates that significant enhancements to the electric grid may be needed to integrate renewable energy. In addition, a substantial reduction of fossil natural gas use and strategic downsizing and decarbonization of the gas system may be required.

In the near-term, the Company must continue to make significant investments to modernize its infrastructure and provide safe and reliable service to customers. While my recommendation assumes the Company will be allowed full and fair recovery of its prudent investments, the potential for "strategic downsizing," could inhibit CECONY's long-term growth. In addition, it is entirely possible that policy developments will occur during the rate year, and such policies or regulatory decisions would affect the Company's operations and cash flows, which would have an immediate effect on the intrinsic value of the Company.

Nonetheless, timing is not the relevant issue for equity investors. Equity investments in utility companies represent long-duration investments. In the long-run, significant investments will be required in emerging technologies as the Company looks to integrate renewable resources and seeks to invest in technologies to decarbonize the gas system. These investments have a different risk profile from the Company's traditional investments. The prospect that the Company's investment profile may be shifting away from traditional utility investments to emerging technologies suggests that investors' return requirements will change to match the risk profile of the underlying investments. As such, even if there is no direct effect of the CLCPA during the Rate Year, the long-term expectations for the CLCPA will affect the cost of equity for investors. That is, consistent with Staff's DCF model, investors base their return requirements on expected cash flows over a long period of time - 200 years in the case of Staff's DCF model.

Q. What are your conclusions regarding the Company's business risk relative to the proxy group?

A. As discussed on pages 58-59 of my direct testimony, CECONY has comparable regulatory protection to the proxy group companies. From an investor's perspective, New York's regulatory environment is ranked "Average/2" by RRA, while the UBS ranking places New York in the lowest category. In my direct testimony, I demonstrated that CECONY has comparable regulatory protection to the proxy group companies, but

the magnitude of the Company's total exposure to negative revenue adjustments places the Company at greater risk than the proxy companies on average. In addition, the uncertainty surrounding the CLCPA creates significant financial and market risk for utility companies as compared to utility companies outside New York. The heightened level of risk faced by CECONY increases the importance of setting a return for the Company within the range of reasonableness, which is above Staff's proxy group return.

V. Response to PULP Witness Yates

Q. Does PULP Witness Yates provide any specific recommendation regarding the Company's authorized ROE?

A. No, he does not. Rather, based on a comparison of the Company's authorized ROEs to the cost of equity calculated by Staff in other cases, Mr. Yates contends on page 51-52 of his direct testimony that CECONY's past allowed ROE was above the cost of equity over the course of its respective rate plans from 2010 through 2024. To remedy this illusory "problem," Mr. Yates proposes an annual update process based on the GFP's recommended ROE calculation, as discussed on pages 54-56 of his testimony.

Q. Are there any flaws or misconceptions with Mr. Yates's analysis?

A. Yes. There are several issues with Mr. Yates's analysis that call into

question the conclusions he draws from it. First, Mr. Yates appears fundamentally to misunderstand the purpose of incentive regulation and the earnings sharing mechanisms. As the Commission observed more than three decades ago:

> In particular, CPB sees the sharing mechanism - including the 100-basis-point buffer within which the company may retain all earnings - as an incentive for more efficient operations and not as a device for increasing the probability that the target will be met.
>
> * * *
>
> As for the substantive issues, CPB makes a telling point in distinguishing between a mechanism intended to provide incentives and one designed to limit variations from the targeted earnings level. The latter should be symmetric, for shortfalls might be as objectionable as overearnings. The former need not be symmetric, for it simply provides the company the opportunity to retain a portion of any excess earnings, while not relieving it of the risks of shortfalls. The sharing mechanism here is such an incentive device, and ATTCOM has shown no need to modify it. (*See* AT&T Communications of New York, Inc., 28 NYPSC 619 (Apr. 22, 1988))

The mere fact that the Company might have "exceeded" an earnings threshold in any given year is an integral part of the incentive regulation scheme inherent in multi-year settlements that can drive efficiencies that ultimately inure to the benefit of customers.

Second, on page 52-53 of his testimony, when Mr. Yates reviews earned returns in relation to his assessment of the effectiveness of earnings sharing mechanisms, he biases his analysis by excluding years in which the Company underearned allowed ROEs. For example, Mr. Yates states that "Staff's ROE Model in rate cases from 2010-2024 produced results that were lower than authorized for Con Edison ROEs in ten of fourteen electric and gas rate case years." As the AT&T order quoted above explains, adjusting for alleged "overearnings" requires remedies for "underearnings." It also obscures the views equity investors have of the earnings potential of the Company and how they view the cost of equity. Mr. Yates's analysis is incomplete as it does not assess whether shareholders exceeded the returns used to set rates over the full duration of the rate plan. In effect, Mr. Yates's analysis is limited to one side of a two-sided distribution. That is, shareholders are exposed to both the upside and downside associated with over/under earnings, and Mr. Yates overlooks the degree to which shareholders were required to bear losses associated with underearning.

Third, Mr. Yates's analysis assumes that the DPS Staff ROE analyses from other cases are an appropriate proxy for the cost of equity of CECONY. However, the cost of equity depends on the risk profile of the subject company.

Fourth, as I discuss in my response to the Staff Finance Panel, the cost of equity for regulated utility companies is being affected by several key factors in the current and prospective capital markets. Despite the effect such conditions have on the DCF and CAPM approaches, Mr. Yates effectively adopts Staff's mechanical applications of the same DCF and CAPM formulas established nearly 30 years ago. Mr. Yates's implicit assumption that the same two models, with the same inputs, weighted the same amount, would be equally accurate under all market conditions is highly unreasonable.

As a final point, the ROE that Mr. Yates applies to calculate the cost of equity is not what the Commission authorized in the majority of the cases cited. That is, Mr. Yates cites Staff's analytical result, which is often stale at the time of the decision and different from what the Commission ultimately authorized as the appropriate ROE. The obvious implication is that the Commission erred in these cases by authorizing an ROE above the cost of equity in each case. New York's authorized ROEs over the last several years have been low compared to the utility industry overall, yet Mr. Yates's analysis would suggest that authorized ROEs should have been below Commission authorizations, which is inconsistent with the *Hope* and *Bluefield* comparable return standard. Although ratemaking is a prospective process, Mr. Yates is effectively suggesting that CECONY

"overearned" based solely on a retroactive relitigating of the Company's ROE.

Given these flaws, Mr. Yates's analysis fails to establish that CECONY's customers incurred costs above the cost of equity. Further, past trends are not guarantees of future performance and there is no validity to his assumption that the cost of equity in future rate plan years is likely to be lower (rather than higher) than the ROE determined in this proceeding.

Q. What are the ratemaking implications of Mr. Yates's proposal to include an annual ROE update process?

A. Mr. Yates is suggesting a solution to a problem that does not exist. His proposal would undermine the potential for settlement agreements and multi-year rate plans that are a key feature of the New York regulatory environment and introduce both single-issue and retroactive ratemaking. Further, Mr. Yates's proposal would create incremental burdens and costs for stakeholders by introducing an additional administrative process.

Q. Please elaborate on how Mr. Yates's proposal would undermine the potential for settlement agreements for multi-year rate plans.

A. Settlement agreements represent comprehensive rate plans and include agreement on many issues, not just the cost of capital, and represent the inevitable give-and-take required to reach a compromise acceptable to the parties involved. One important "give" of a settlement agreement involves the Company foregoing the option to file a new rate case in exchange for a reasonable assurance of rate certainty. In doing so,

however, a company is exposed to changes in the underlying costs that may deviate from expected levels of inflation, national and international events, and other unanticipated changes such as pandemics. That is, by staying out of rate cases, the utility may not fully recover material amounts of capital expenditures and may be required to absorb losses due to differences between the cost of service established in the rate plan and actual levels of revenue and expense. As such, the option of seeking rate relief has value. By foregoing this option, equity investors must be compensated for the incremental risk they bear with regard to uncertainty around cost recovery. Simply put, by requiring updates to the cost of equity each year, the Company has less certainty associated with its revenues and therefore has less incentive to enter into a settlement agreement.

Q. Please describe how Mr. Yates's proposal constitutes single-issue ratemaking.

A. Mr. Yates has focused on a single element of the Company's total cost of service in his proposal to update the cost of equity on an annual basis. As described on pages 19-20 of my direct testimony, the Company's most recent rate plan included a period of historically high inflation, reaching 9.10 percent in June of 2022. The Company had limited protections for cost recovery associated with inflation during this period due to the constraints of the rate plan. Mr. Yates's proposal to expose the Company to changes in the cost of equity during the rate plan, but without

protections for other macroeconomic drivers, such as inflation, introduces single-issue ratemaking that would introduce greater risk to shareholders requiring higher returns. In addition to adjusting for a single issue, there is an element of retroactivity to Mr. Yates's proposal. While resetting the ROE prospectively on an annual basis may escape the onus of being classical "retroactive ratemaking" it, nevertheless, is still rooted in redress of earnings of the past and abnegation of earnings allowances of the past and prior settlement agreements.

Q. What is the effect of Mr. Yates's proposal on the cost of equity for the Company?

A. RRA ranks the New York regulatory environment as "Average/2" based on the Commission's constructive regulatory mechanisms, which include multi-year settlements. Mr. Yates's proposal would discourage multi-year settlements, and if agreed upon, introduce incremental uncertainty of cost recovery in any agreed upon multi-year settlement. By diminishing the constructive regulatory mechanisms available to New York utilities, this would increase utilities' regulatory risk. Accordingly, with a higher degree of regulatory risk, investors would require a higher return on equity and a higher cost of long-term debt.

Q. What is your conclusion with respect to Mr. Yates's proposed annual ROE update process?

A. Mr. Yates's flawed analysis of alleged excessive revenues fails to take into account several factors that would affect the measurement of the cost

of equity, and the full spectrum of risk to which CECONY's equity investors are exposed. His proposed ROE update process would undermine the settlement process in New York and expose equity investors to incremental risks that would cause an increase in required returns.

VI. Response to Other Witnesses

Q. Do you wish to respond to the direct testimony of any other witnesses submitted in these proceedings?

A. Yes, briefly. MOA Burdick on pages 16 to 19 of his direct testimony argues that the Company's requested ROE is excessive. In his view, the Company should be granted an ROE no higher than the 8.8 percent ROE the Commission approved for Central Hudson Gas and Electric Corporation ("Central Hudson") in 2018. The Commission should reject this position. MOA Burdick presents no financial analysis in support of his recommendation. Moreover, the financial environment that Central Hudson faced in 2018 is far different from that faced by the Company in 2025. MOA Levenberg contends on page 10 of his direct testimony that "the return on equity requested by Con Edison is too high." MOA Shimsky on pages 9 to 10 of his direct testimony questions whether the Company's "high return on equity is being paid for by rate increases imposed on the ratepayers." Finally, Dario Quinsac on behalf of State

Senator Jackson on page 5 of his testimony argues that the Company's request for an elevated ROE exceeds established norms, implying an excessive profit margin that would result in higher customer rates." None of these witnesses provide any financial analysis in support of their positions. There is no reasonable basis for the Commission to support them.

NYECC Witness Anderson refers to dividends issued by CECONY's parent company, Consolidated Edison, Inc., and the Company's credit rating to conclude that he is not concerned about the Company's ability to raise capital if the Commission does not authorize the requested rate relief. However, this cursory review does not consider the financial integrity of CECONY on a prospective basis which is most relevant to investors. Mr. Anderson's review CECONY's ability to raise capital should be disregarded.

VII. Conclusion and Recommendation

Q. What is your conclusion regarding a fair return on book equity for CECONY?

A. My recommended return on book equity considers the results of the DCF and CAPM models, summarized in Exhibit__(JCN-1R), updated to reflect market information through May 30, 2025. In addition, reasonable modifications to the Staff Finance Panel's proposed inputs and

assumptions result in significant changes in the resulting ROE from their models. Exhibit__(JCN-9R) summarizes the incremental effects of changes to Staff's ROE analyses. Based on these analyses, I continue to conclude that the Company's requested ROE of 10.00 percent is at the low end of the range of reasonableness and is a conservative estimate of the investor-required ROE.

Q. Does this conclude your Rebuttal Testimony?

A. Yes, it does.